RETURN GOALS

The next element of the canvas is the return goals. We will list down all the goals that we intend to achieve financially. Then we quantify them in terms of time and money i.e. how much we will need and in what period. After that, they are prioritized through a rating system. This gives us an understanding of what we are trying to achieve.

RISK TAKING ABILITY

The risk-taking ability is how much risk we will be able to take in our investments based on our goals, time horizon, income, and assets. Risk-taking ability is not only based on our preferences but also on our circumstances. This is where we use the GETAI principle to evaluate our risk-taking ability objectively.

RISK TAKING WILLINGNESS

Risk-taking willingness is the second half of our risk profile. Once we have understood, how much risk we are capable of taking, the next thing that we will do is evaluate, how much risk we are willing to take. This is not based on the circumstances at hand but on our preferences. It is very subjective and we will learn how to deal with the same depending on our past experiences and the kind of financial investor we are.

TIME HORIZON

The next element is the time horizon. In this, we assess the time horizon for each goal that we are investing in. Also, we try and create a financial timeline for our major goals and personal milestones. This acts as a guide for us in the planning stage.